

CSU Investment Memo

Constellation Software Inc. (TSX: CSU) | 2026-07-02

Note on sourcing: Constellation Software does not file with the U.S. SEC. This research package is built from the company's own Annual Information Form and audited financial statements/MD&A, sourced directly from its investor-relations site (SEDAR+ disclosure), not SEC EDGAR.

The Business in 30 Seconds

Constellation Software is a Canadian serial acquirer of mission-critical vertical market software (VMS) businesses — six operating groups, 150+ distinct verticals, no customer over 2% of revenue, and ~75% recurring maintenance revenue — run on a deliberately decentralized capital-allocation model with an IRR hurdle rate for every acquisition [CSU_AIF_FY2024.pdf, pages 13-15].

What's Going Right

Recurring revenue continues rising as a share of the mix. Maintenance and other recurring revenue grew from 73.5% (FY2024) to 74.8% (FY2025) of total revenue [CSU_Q4FY2025_MDA.pdf, page 4], the clearest evidence of durable switching-cost protection strengthening, not weakening.

Organic growth reaccelerated through FY2025. Unadjusted quarterly organic growth went from 0% (Q1 2025) to 6% (Q4 2025) [CSU_Q4FY2025_MDA.pdf, page 4].

Static share count, no dilution. Shares outstanding were unchanged at 21,191,530 between Dec 2024 and Dec 2025 [CSU_Q4FY2025_FinancialStatements.pdf, Note 17] — CSU funds growth via cash flow and disciplined debt, not shareholder dilution.

Substantial forward revenue visibility. \$7.7 billion of contracted-not-yet-recognized revenue as of Dec 31, 2025, ~61% expected within 12 months [CSU_Q4FY2025_MDA.pdf, page 22].

Q1 2026 results beat consensus with a reported acquisition-spend reacceleration. (Note: from external source) Revenue +20% YoY, EPS beat, and ~\$1.6 billion of Q1/Q2 2026 combined acquisition deployment — the strongest Q1 acquisition pace in the company's reported history.

What Could Go Wrong

Acquisition cash spend declined for three consecutive years. \$1,609M (FY2023) → \$1,347M (FY2024) → \$1,227M (FY2025) [CSU_Q4FY2025_FinancialStatements.pdf] — even as operating cash flow grew from \$1,779M to \$2,732M over the same period. This is CSU's core growth engine, and it has been shrinking in absolute dollars.

Founder Mark Leonard is departing the Board. (Note: from external source) Effective after the May 15, 2026 AGM, with new CEO Mark Miller (appointed September 2025) taking over full leadership — a genuine succession-risk event for a company whose capital-allocation culture is externally credited almost entirely to Leonard's design.

Reported net income is unusually volatile due to large, recurring non-operating items. FY2023 was suppressed by a \$597M redeemable preferred securities charge; FY2025 by a combined \$700M IRGA/Asseco revaluation charge [CSU_Q4FY2025_FinancialStatements.pdf] — headline EPS and trailing P/E are not reliable year-over-year comparison tools without adjustment.

No segment-level financial disclosure. CSU aggregates all six operating groups into a single IFRS 8 reportable segment [CSU_Q4FY2025_FinancialStatements.pdf, Note 23] — investors cannot independently verify which operating groups are driving growth or margin trends.

Rising acquisition-market competition. (Note: from external source) Private equity and other strategic roll-ups are increasingly competing for the same small, niche VMS targets CSU has historically acquired at disciplined valuations.

FX volatility. Only ~49% of revenue is USD-denominated against a 100% USD reporting currency — the FX line swung from a \$26M gain (FY2024) to a \$154M loss (FY2025) [CSU_Q4FY2025_FinancialStatements.pdf].

The Numbers That Matter

Metric	FY2025	FY2024	FY2023
Revenue (\$M)	11,623	10,066	8,407
Revenue Growth	+15.5%	+19.7%	—
Income before taxes (\$M)	939	1,011	265
Net income (\$M)	586	767	62
— attributable to common shareholders	512	731	565
Diluted EPS	\$24.15	\$34.48	\$26.67

Metric	FY2025	FY2024	FY2023
FCFA2S (\$M)	1,683	1,472	n/a
Cash paid for acquisitions (\$M)	1,227	1,347	1,609
Total debt (\$M)	4,131	3,474	n/a
Cash (\$M)	3,089	1,980	1,284
Diluted shares (M)	21.2	21.2	21.2
Dividend per share (annual)	\$4.00	\$4.00	—

Source: [CSU_Q4FY2025_FinancialStatements.pdf] and [CSU_Q4FY2025_MDA.pdf]. Note: FY2025 and FY2023 net income figures are distorted by large non-operating items — see [[Financial Deep Dive]].

Valuation

Multiple	Value	Context
Trailing P/E	55-57x	(external — distorted by one-time charges, see [[Valuation Check]])
Forward P/E	16.5-17.5x	(external — roughly in line with Roper Technologies)
EV/EBITDA	13-16x	(external)
Dividend Yield	0.20%	(external — token payout)

Scenarios (see [[Valuation Check]] for full assumptions, cash-flow-based framework):

Scenario	Fair Value (CAD)	Return
Bull	~\$4,155	+48%
Base	~\$3,002	+7%
Bear	~\$1,609	-43%

Moat Assessment

Source	Rating
Switching costs	Strong
Network effects	Absent
Cost advantages	Weak-to-Moderate
Intangible assets	Moderate
Efficient scale	Moderate-to-Strong (at individual-niche level)
Trajectory	Stable-to-Widening (existing portfolio); acquisition-engine trajectory uncertain

Decision

Current stance: Monitor

Constellation Software's underlying portfolio quality — hundreds of switching-cost-protected, niche mission-critical software businesses with rising recurring revenue and no meaningful customer concentration — is genuinely among the strongest in this research vault. The open questions are specific and checkable rather than existential: whether the three-year decline in acquisition cash spend was opportunistic timing (as the reported Q1/Q2 2026 reacceleration suggests) or a structural narrowing of the acquisition pipeline, and whether new CEO Mark Miller sustains the disciplined capital-allocation culture externally credited to founder Mark Leonard following his Board departure. The stock's sharp 52-week decline (down ~43.6% from its high) already reflects real market uncertainty on both fronts. This is a name to watch for confirmation over the next 1-2 quarters and the FY2026 annual filing, rather than either a clear buy or a clear avoid at the current price.

Key triggers to watch: - FY2026 annual results (expected ~March 2027) — does the acquisition-spend reacceleration reported for Q1/Q2 2026 hold for the full year? - Mark Miller's first full year of public capital-allocation track record and commentary - Continued organic growth trend in quarterly disclosures - Normalization of the large non-operating revaluation items affecting reported EPS

Key risks to monitor: - A structurally shrinking acquisition pipeline despite ample available cash flow - Leadership-transition-driven drift in capital-allocation discipline - Rising competition from private equity and other roll-ups compressing acquisition economics - AI-driven competitive disruption at the individual portfolio-company level (a newly-disclosed risk factor as of the FY2025 MD&A)

Sources: CSU Annual Information Form (fiscal 2023 and 2024, filed via SEDAR+), CSU audited annual financial statements and MD&A (fiscal 2023-2025), CSU Q1 2026 earnings coverage (external source), external market data (stockanalysis.com, GuruFocus, various news sources). All financial metrics cited from company-filed documents unless explicitly flagged as external data.